manned by Indian security personnel were established near the border with Tibet. Another agreement, which was concluded in 1952, amplified the privileges agreed upon in the 1950 agreement and gave Indian citizens the right to immigrate to Nepal and become Nepalese citizens and gave the same right to Nepalese citizens as well. This agreement, though, caused resentment in Nepal where many did not want to see large-scale Indian immigration, while many Indians, too, were opposed to Nepalese coming to work in their country. Dissatisfaction with India's influence led to Nepal looking north for closer relations with China. New Delhi, however, continued to give a high level of economic assistance to Nepal at the same time as India provided a safe haven for the Nepali Congress, now operating almost exclusively in exile.

However, relations between Nepal and India were never going to be the same after the construction of the highway to Tibet and the 1970 blockade. New treaties for trade and transit rights were signed in 1978, but relations became even more strained when, in 1988, the Nepalese government signed an agreement with China to purchase weapons, including antiaircraft guns. A second road to Tibet was also going to be built west of the Araniko Highway.

According to US researcher Andrea M. Savada,

> In retaliation for these developments, India put Nepal under a virtual trade siege. In March 1989, upon the expiration of the 1978 treaties on trade and transit rights, India insisted on negotiating a single unified treaty in addition to an agreement on unauthorised trade, which Nepal saw as a flagrant attempt to strangle its economy. On March 23, 1989, India declared that both treaties had expired and closed all but two border entry points.[50]

Also in 1989, Nepal decided to decouple its rupee from the Indian Rupee, which until then had circulated freely in Nepal. India retaliated by denying the Nepalese port facilities in Kolkata to Nepal, thus preventing the delivery of oil from Singapore and other countries.

Relations improved after the 1990 Jan Andolan, which saw the return to power of the Nepali Congress. A joint Indian-Nepalese communiqué was issued in June 1990 announcing the restoration of the status quo and the reopening of all border crossings. The Nepalese leadership also said that 'lower cost' was the reason they had bought weapons from China, and China was advised to withhold its last shipment to Nepal.[51]